

Turnkey Rail, LLC

Financial Statements

July 31, 2026

Turnkey Rail, LLC

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Turnkey Rail, LLC
Executive Summary
For the Period April 16 - July 31, 2026

Notes to the Reader:

The accompanying financial statements include the following departures from accounting principles generally accepted in the United States of America:

- The financial statements omit substantially all of the disclosures required by accounting principles generally accepted in the United States of America.

The financial statements are developed by Turnkey Rail, LLC to comply with accounting principles generally accepted in the United States of America ("GAAP"), although there may be departures from GAAP not identified. These statements are primarily intended for use in managing Turnkey Rail, LLC's operations and may not be suitable for other purposes. Users should be aware of these limitations when utilizing the financial statements.

Turnkey Rail, LLC
Balance Sheets
July 31, 2026 and June 30, 2026

	<u>July 31, 2026</u>	<u>June 30, 2026</u>	<u>Change</u>
ASSETS			
Operating Checking	\$ 242,356.27	\$ 231,616.40	\$ 10,739.87
Contract Receivables	3,277,065.22	5,938,674.47	(2,661,609.25)
Contract Assets			
Costs and Estimated Earnings in Excess of Billings	-	-	-
Retainage Receivable	659,852.72	659,852.72	-
Total Contract Assets	659,852.72	659,852.72	-
Prepaid Expenses	114,940.15	126,434.16	(11,494.01)
Fixed Assets			
Property & Equipment	612,146.88	465,631.63	146,515.25
Vehicles	21,000.00	21,000.00	-
Accumulated Depreciation	(6,497.93)	(3,153.66)	(3,344.27)
Total Fixed Assets	626,648.95	483,477.97	143,170.98
Total Assets	<u>\$ 4,920,863.31</u>	<u>\$ 7,440,055.72</u>	<u>\$ (2,519,192.41)</u>
LIABILITIES AND MEMBERS' EQUITY			
Accounts Payable	\$ 1,387,668.71	\$ 2,462,081.90	\$ (1,074,413.19)
Retainage Payable	126,416.20	-	126,416.20
Contract Liabilities			
Billings in Excess of Costs and Estimated Earnings	2,269,901.00	3,980,502.00	(1,710,601.00)
Total Contract Liabilities	2,269,901.00	3,980,502.00	(1,710,601.00)
Total Liabilities	<u>3,783,985.91</u>	<u>6,442,583.90</u>	<u>(2,658,597.99)</u>
Members' Equity			
Members' Capital	1,000,000.00	1,000,000.00	-
Net Income (Loss)	136,877.40	(2,528.18)	139,405.58
Total Members' Equity	<u>1,136,877.40</u>	<u>997,471.82</u>	<u>139,405.58</u>
Total Liabilities and Members' Equity	<u>\$ 4,920,863.31</u>	<u>\$ 7,440,055.72</u>	<u>\$ (2,519,192.41)</u>

Turnkey Rail, LLC
Statements of Operations

For the One Month Ended July 31, 2026 and June 30, 2026 and Year to Date Ended July 31, 2026

	<u>July 31, 2026</u>	<u>June 30, 2026</u>	<u>Change</u>	<u>Year to Date</u>
Revenue				
Construction Revenue	\$ 1,710,601.00	\$ 1,615,159.57	\$ 95,441.43	\$ 4,328,626.19
Total Revenue	<u>1,710,601.00</u>	<u>1,615,159.57</u>	<u>95,441.43</u>	<u>4,328,626.19</u>
Cost of Goods Sold				
Track Materials	135,073.20	1,679,123.33	(1,544,050.13)	2,712,873.33
Administrative Costs	(3,849.71)	5,014.83	(8,864.54)	7,421.95
Maintenance	-	-	-	1,006.12
Insurance	5,762.11	11,605.11	(5,843.00)	17,367.22
Fuel & Disposals	-	3,967.95	(3,967.95)	3,967.95
Truck	(334.60)	334.60	(669.20)	-
Staffing Labor	(4,592.48)	8,106.04	(12,698.52)	3,513.56
Small Tools & Consumables	67,746.50	-	67,746.50	67,746.50
Haul/Fencing/Welding	15,192.57	-	15,192.57	15,192.57
Subcontractors	1,264,162.00	-	1,264,162.00	1,264,162.00
Turnkey Labor	40,572.33	-	40,572.33	40,572.33
Contract Employees	38,641.55	-	38,641.55	38,641.55
Total Cost of Goods Sold	<u>1,558,373.47</u>	<u>1,708,151.86</u>	<u>(149,778.39)</u>	<u>4,172,465.08</u>
Gross Profit	<u>152,227.53</u>	<u>(92,992.29)</u>	<u>245,219.82</u>	<u>156,161.11</u>
General & Administrative Expenses				
Insurance Expense	5,731.90	5,731.90	-	11,463.80
Depreciation Expense	3,344.27	3,153.66	190.61	6,497.93
Accounting	6,868.45	-	6,868.45	6,868.45
Total General & Administrative Expenses	<u>15,944.62</u>	<u>8,885.56</u>	<u>7,059.06</u>	<u>24,830.18</u>
Other Income (Expense)				
Other Income				
Interest Income	3,122.67	1,332.19	1,790.48	5,546.47
Total Other Income	3,122.67	1,332.19	1,790.48	5,546.47
Total Other Income (Expense)	<u>3,122.67</u>	<u>1,332.19</u>	<u>1,790.48</u>	<u>5,546.47</u>
Net Income (Loss)	<u>\$ 139,405.58</u>	<u>\$ (100,545.66)</u>	<u>\$ 239,951.24</u>	<u>\$ 136,877.40</u>

Turnkey Rail, LLC
Statement of Cash Flows
For the Period April 16 - July 31, 2026

Cash Flows from Operating Activities:

Net Income (Loss)	136,877.40
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Changes in Operating Assets and Liabilities:

Depreciation	6,497.93
Increase in Accounts Receivable	(3,277,065.22)
Increase in Accounts Payable	1,387,668.71
Increase in Retainage Payable	126,416.20
Increase in Contract Assets	(659,852.72)
Increase in Prepaid Expenses	(114,940.15)
Increase in Contract Liabilities	2,269,901.00

Net Cash Used by Operating Activities	(124,496.85)
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Cash Flows from Investing Activities:

Purchase of Fixed Assets	(633,146.88)
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Net Cash Used by Investing Activities	(633,146.88)
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Cash Flows from Financing Activities

Contributions From Members	1,000,000.00
Distributions To Members	-

Net Cash Provided by Financing Activities	1,000,000.00
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Net Increase (Decrease) in Cash	242,356.27
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Cash - Beginning of Period	-
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Cash - End of Period	\$ 242,356.27
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Turnkey Rail, LLC
Statement of Changes in Members' Equity
For the Period April 16 - July 31, 2026

	<u>Equity Balances at 4/16/2026</u>	<u>Contributions</u>	<u>Distributions</u>	<u>Net Income (Loss)</u>	<u>Equity Balances at 7/31/2026</u>
Member					
Members' Capital	\$ -	\$ 1,000,000.00	\$ -	\$ -	\$ 1,000,000.00
Retained Earnings	-	-	-	136,877.40	136,877.40
Total	<u><u>\$ -</u></u>	<u><u>\$ 1,000,000.00</u></u>	<u><u>\$ -</u></u>	<u><u>\$ 136,877.40</u></u>	<u><u>\$ 1,136,877.40</u></u>

Turnkey Rail, LLC
Schedule of Contracts
As of June 30, 2026

Estimated Contract Amounts					Contract Amounts to Date								Future Contract Amounts				
Job Description	Contract Amount	Estimated Cost Upon Completion	Estimated Gross Profit Upon Completion	% Profit Margin	Contract Billed to Date	% Billed	Revenue Earned to Date	Costs to Date	Costs to Date Less Uninstalled Materials	% Comp.	Gross Profit (Loss) to Date	Gross Profit % Earned to Date	Costs and Earnings in Excess of Billings	Billings in Excess of Costs and Earned Earnings	Contract Amount to Bill	Estimated Costs to Complete	Gross Profit Remaining
IN PROGRESS																	
Buna Phase 1 Track Exp	8,711,043	7,869,130	841,913	9.66%	6,598,527	75.75%	2,618,025	2,614,092	36,755	0.47%	3,933	0.15%	-	3,980,502	2,112,516	5,255,038	837,980
IN PROGRESS TOTALS	\$8,711,043	\$7,869,130	\$ 841,913	9.66%	\$ 6,598,527	75.75%	\$2,618,025	\$2,614,092	\$ 36,755	0.47%	\$ 3,933	0.15%	\$ -	\$3,980,502	\$2,112,516	\$5,255,038	\$ 837,980